Blackford Special Situations Fund II

Quarterly Report — First Quarter 2026

Blackford Partners • Closed-End Opportunistic Fund • Vintage 2022

Managing Partner Letter

The Fund returned approximately +1.5% net for the quarter. Appreciation of $0.69 million was partly offset by incentive accruals recognised during the period. Net asset value was approximately $23.8 million at quarter-end.

Investments Impacting Performance

The Fund's mezzanine position in a Sun Belt residential portfolio accrued at par and one distressed retail note was marked up following a consensual restructuring.

Outlook

The Manager continues to see opportunity in bank-originated loan portfolios and expects to draw further capital in the second quarter.

Selected Portfolio Statistics (Quarter-End)

Metric	Value
Net Asset Value	$23,828,867
Quarter Total Net Return	+1.45%
Appreciation (Quarter)	$690,000
Loan-to-Value	48.9%
Net Equity Multiple	1.34x

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